MOCK 5 SS2

Q1. The multiple of invested capital (MOIC) measure takes into account:

A. the realized value of an investment only.
B. the residual asset value of an investment only.
C. both the realized value of an investment and the residual asset value of an investment.

Q2. If the Macaulay duration and time-to-maturity of a bond are equal, the bond is most likely a:

A. zero-coupon bond.
B. coupon bond trading at par.
C. coupon bond trading at a premium.

Q3. An example of a negative bond covenant is a:

A. promise to pay required taxes.
B. limit on the issuance of additional debt.
C. requirement to comply with existing laws and regulations.

Q4. Which of the following pooled investment products is most likely to trade at a price furthest from its NAV?

A. ETF
B. Open-end mutual fund
C. Closed-end mutual fund

Q5. The financial systems that are operationally efficient are most likely characterized by:

A. security prices that reflect fundamental values.
B. the use of resources where they are most valuable.
C. liquid markets with low commissions and order price impacts.

An investor makes the following statements:

- Statement 1: "Swaps are contingent claims."
- Statement 2: "Swaps are characterized by a series of cash flows."

Q6. Which of the statements is correct?

A. Statement 1 only
B. Statement 2 only
C. Both Statement 1 and Statement 2

Q7. Convenience yield is best described as the:

A. opportunity cost of the money invested.
B. non-monetary advantage of holding the asset.
C. net of the costs and benefits of holding an asset.

Q8. According to the capital asset pricing model (CAPM), the difference in the expected returns for two securities is determined by the securities':

A. total risk.
B. systematic risk only.
C. nonsystematic risk only.

Q9. Which of the following attributes is least likely to be a requirement for the existence of riskless arbitrage? The underlying security:

A. is relatively liquid.
B. can be sold short.
C. is a financial asset.

Q10. The value of bitcoin is most likely based on:

A. underlying cash flows only.
B. expected price appreciation only.
C. both underlying cash flows and expected price appreciation.

Q11. Short positions have the potential for:

A. unbounded gains only.
B. unbounded losses only.
C. both unbounded gains and unbounded losses.

Q12. For a given currency and tenor, a bond's yield spread over the standard swap rate is best described as the:

A. I-spread.
B. G-spread.
C. Z-spread.

Q13. A disadvantage of computing the duration of a bond portfolio as a weighted average of time to receipt of the aggregate cash flows is that it:

A. is theoretically incorrect.
B. is difficult to use in practice.
C. assumes the yield curve shifts in a parallel manner.

Q14. The money duration of a bond is best defined as:

A. the bond's Macaulay duration times the bond's full price.
B. the estimated change in the bond's full price in currency units for a given change in the annual yield to maturity.
C. one half of the difference in the bond's full prices given a 1 basis point decrease and 1 basis point increase in yield-to-maturity.

A portfolio manager plans to add three securities with the following characteristics to a well-diversified portfolio:

- Security 1 has the highest Jensen's alpha;
- Security 2 has the highest information ratio;
- Security 3 has the lowest non-systematic variance.

Q15. To maximize the portfolio's risk-adjusted return, the manager should assign the highest relative weight to:

A. Security 1.
B. Security 2.
C. Security 3.

Q16. In the private debt market, a hybrid loan structure that combines secured and unsecured debt into a single loan with a blended interest rate is best described as:

A. unitranche debt.
B. mezzanine debt.
C. a leveraged loan.

Q17. All else being equal, credit spreads most likely widen:

A. in periods of heavy new issue supply.
B. with expectations of a stronger economy.
C. with increased demand for corporate bonds.

Question 18 of 90

An analyst gathers the following balance sheet information (in $ millions) for a company:

Cash	2.5
Accounts receivable	7.5
Inventories	15.0
Net fixed assets	25.0
Total assets	50.0
Total liabilities	22.5
Common shareholders' equity	27.5
Total liabilities and equity	50.0

Q18. The market value of inventories is 110% of reported value and the market value of net fixed assets is 115% of reforted value. All other values are as reported. There are 2.0 million shares outstanding and the current share price is $18.00. Using an asset-based valuation approach, the company's shares are most likely:

A. undervalued.
B. fairly valued.
C. overvalued.

Question 19 of 90

A manager gathers the following information about two non-dividend paying stocks that constitute a market-capitalization weighted index:

Stock	Market Capitalization	Price per Share
1	$200 million	$30
2	$100 million	$90

Q19. If there are no other securities in the index and the price of each stock increases by 10%, the index's return will most likely be:

A. less than the return of an equal-weighted index.
B. equal to the return of an equal-weighted index.
C. greater than the return of an equal-weighted index.

Question 20 of 90

An analyst gathers the following information about two assets:

Asset	Expected Return	Standard Deviation of Returns
1	–5%	5%
2	5%	8%

Q20. If the correlation between the two assets' returns is - 1, the standard deviation of returns for an equally weighted portfolio of the assets is closest to:
A. 0%.
B. 2%.
C. 4%.

Q21. If ten board directors are to be elected, under statutory voting, the maximum number of votes a shareholder owning ten shares can cast in favor of a single candidate is:
A. 1.
B. 10.
C. 100.

Q22. In the binomial model, if the probability of an upward movement in an underlying increases, the value of a put option:

A. decreases.
B. remains unchanged.
C. increases.

Q23. A limit order is an example of a(n):

A. validity instruction.
B. clearing instruction.
C. execution instruction.

Q24. Which of the following statements is most accurate?

A. The value of a swap fluctuates as market conditions change
B. The price and the value of a swap are the same at expiration
C. The price of a swap at initiation is zero as there is no initial outlay of cash

Q25. A portfolio manager generated a rate of return of 15.5% on a portfolio with beta of 1.2. If the risk-free rate of return is 2.5% and the market return is 11.8%, Jensen's alpha for the portfolio is closest
A. 1.84%.
B. 3.70%.
C. 4.34%.

Q26. Which of the following situations will most likely indicate a reduction of market efficiency?

A. An increase in arbitrage opportunities
B. An increase in the number of market participants
C. An increase in rules and regulations that promote financial disclosure

Q27. Which of the following provides the best behavioral explanation of the value stock anomaly?

A. The halo effect
B. The disposition effect
C. The effects of the framing bias

Q28. Which of the following equations best describes put-call parity for European options?

A. $po= Co-So+X/(1+1)^T$
B. $Co=po-So-X/(1+r)^T$
C. $So= Co-Po-X/(1+r)^T$

Q29. A company announces an unexpected improvement in its earnings forecast for the coming year.
The announcement most likely immediately impacts:

A. the company's book value of equity only.
B. the company's market value of equity only.
C. both the company's book value of equity and the company's market value of equity.

Q30. After the lockout period, principal payments associated with credit card receivable-backed securities are:

A. periodically distributed to investors.
B. reinvested in additional receivables.
C. distributed to investors as a balloon payment.

Question 31 of 90

An analyst gathers the following information:

	Time to Maturity	Yield to Maturity
Bond 1	4 years	3.3%
Bond 2	7 years	5.1%

Q31. Based only on this information, the estimated market discount rate for a 6-year bond with similar credit quality is:
A. 3.9%.
B. 4.2%.
C. 4.5%.

Q32. Which of the following is least likely a feature of a credit card receivable asset-backed security
(ABS)?

A. A lockout period
B. Amortizing collateral
C. An early amortization provision

Q33. If the correlation between assets in a two-asset portfolio is less than one, the standard deviation of the portfolio is:

A. less than the weighted average standard deviation of the individual assets.
B. equal to the weighted average standard deviation of the individual assets.
C. greater than the weighted average standard deviation of the individual assets.

Q34. Return-generating models are best used to estimate the:

A. expected return of a security.
B. expected return of the market portfolio.
C. expected excess return on the market portfolio.

Q35. If the forward price of a stock is equal to the current spot price, the price of an at-the-money put option applying put-call parity will be:

A. lower than the price of at-the-money call option.
B. equal to the price of at-the-money call option.
C. higher than the price of at-the-money call option.

Q36. In which form of market efficiency do security prices fully reflect private information?

A. Weak-form efficient
B. Semi-strong-form efficient
C. Strong-form efficient

Q37. The bond equivalent yield for a semiannual pay bond is most likely:

A. equal to the effective annual yield.
B. more than the effective annual yield.
C. equal to double the yield per semiannual period.

Q38. The focus strategy is most likely used to defend against which of Porter's five forces?

A. Industry rivalry
B. Threat of new entrants
C. Bargaining power of suppliers

Q39. Key rate duration measures the sensitivity of a bond's price to a change in:

A. its yield to maturity.
B. its yield to first call.
C. the shape of the benchmark yield curve.

Question 40 of 90

An analyst gathers the following information about spot rates:

Time to Maturity	Sequence 1	Sequence 2
1 year	2.0%	4.7%
2 years	3.5%	3.5%
3 years	4.7%	2.0%

Q40. For a 3-year, 2% annual coupon payment bond, the price using Sequence 1 is:

A. less than the price using Sequence 2.
B. the same as the price using Sequence 2.
C. greater than the price using Sequence 2.

Q41. An investor purchases stock at $25 per share on 55% initial margin. If the required maintenance margin is 25%, a margin call may first occur when the price falls below:
A. $13.75.
B. $15.00.
C. $18.33.

Q42. The slope of the capital allocation line is the:

A. beta of the market.
B. market price of risk.
C. market risk premium.

Q43. With,respect to the portfolio management process, the execution step most likely includes

A. asset allocation.
B. portfolio monitoring.
C. developing the investment policy statement.

Q44. The Procedures section of an investment policy statement (IPS) most likely:

A. explains the steps to keep the IPS current.
B. provides information about the permissible use of leverage.
C. details the investor's policy with respect to rebalancing asset class weights.

Q45. Zet Bank has entered into a contract with Louly Corporation in which Zet agrees to buy a 2.5% US Treasury bond maturing in ten years and promises to sell it back next month at an agreed-on price. From Zet Bank's perspective, this contract is best described as a:

A. repo.
B. reverse repo.
C. collateralized loan.

Q46. The rating agency notching adjustment applied to the subordinated debt rating of speculative grade issuers is most likely:

A. smaller than that applied to the subordinated debt rating of investment grade issuers.
B. the same as that applied to the subordinated debt rating of investment grade issuers.

C. larger than that applied to the subordinated debt rating of investment grade issuers.

Q47. Which of the following is most likely a high-risk infrastructure investment?

A. An asset with a history of steady cash flows
B. A brownfield asset leased back to a government
C. A greenfield project without guarantees of demand upon completion

Q48. A disadvantage of a fund of hedge funds as compared to a large multi-strategy fund is:

A. due diligence expertise.
B. higher management fees.
C. diversified exposure to various hedge fund strategies.

Q49. The Macaulay duration of a non-callable perpetual bond with a yield in perpetuity of 8% is closest to:
A. 7.4.
B. 8.0.
C. 13.5.

Q50. A bond has an annual modified duration of 2.741, an annual convexity of 22.638, and is currently yielding 5.0%. If the bond's yield-to-maturity decreases to 4.2%, the expected percentage price change is closest to:
A. -2.12%.
B. 2.27%.
C. 2.34%.

Q51. A limited partner in a private equity fund most likely activates a clawback provision if the general partner:

A. exits successful deals early in the fund's life but incurs losses on deals later.
B. exits unsuccessful deals early in the fund's life but generates gains on deals later.
C. exits successful deals early in the fund's life and generates additional gains on deals later.

Q52. With respect to an IPS, which of the following best describes an absolute risk objective for a client's portfolio?

A. An annual tracking risk of less than 2 percent
B. A twelve-month 95% value at risk of less than €1,000,000

C. Maintaining at least €10,000 in cash for planned monthly withdrawals

Question 53 of 90

An analyst gathers the following information about three companies and their common shares:

	Company 1	Company 2	Company 3
Next year's expected dividend (D_1)	\$1.00	\$1.00	\$1.25
Dividend payout ratio	10%	20%	15%

Q53. All three companies have the same ROE of 10% and required return of 10%. Using the Gordon growth model, the company with the highest intrinsic value is:

A. Company 1.
B. Company 2.
C. Company 3.

Question 54 of 90

An investor sells a European put option with the following characteristics:

Put price	50
Exercise price	1,640

Q54. If the price of the underlying at expiration is 1,670, the profit for the seller is:
A. 20.
B. 30.
C. 50.

Q55. In order to take advantage of short-term capital market expectations, a fund manager holds less of her portfolio in equities than the policy weights prescribe. This action is best described as:

A. security selection.
B. portfolio rebalancing.
C. tactical asset allocation.

Q56. Individual investors most likely bear investment risk when participating in:

A. defined benefit pension plans only.
B. defined contribution pension plans only.

C. both defined benefit pension plans and defined contribution pension plans.

Q57. Which of the following statements about limited partnerships is most accurate?

A. The operations and decisions of the fund are controlled solely by the limited partners
B. The partnership between the general partner and the limited partners is governed by a limited partnership agreement
C. Additional regulatory and tax reporting requirements due to a limited partner's unique circumstances are documented in the limited partnership agreement

Q58. Among three otherwise comparable bonds, the bond with the highest price is most likely to be:

A. putable.
B. callable.
C. option-free.

Q59. All else being equal, the price of a commodity futures contract will most likely decrease with a(n):

A. decline in storage costs.
B. increase in the risk-free rate.
C. decline in the convenience yield.

Question 60 of 90

An analyst gathers the following estimates about a company:

Earnings retention rate	40%
Growth rate	3%

Q60. If the justified forward P/E is 10 based on the Gordon growth model, the required rate of return is:
A. 6%.
B. 7%.
C. 9%.

Q61. In contrast to investors in otherwise-similar mortgage-backed securities, investors in covered bonds most likely:

A. face higher credit risks.

B. are exposed to prepayment risks.
C. have recourse against the issuing financial institution.

Q62. Security market indexes can be used to calculate alphas, which are best described as:

A. a measure of market sentiment.
B. the systematic risk of a security, using the index as a proxy for the entire market.
C. the difference between the return of the actively managed portfolio and the return of the passive portfolio.

Q63. An optimal risky portfolio has an expected return of 15% and standard deviation of 20%. The risk-free rate is currently 5%. A risk-seeking investor who is considering investing along the capital allocation line (CAL) would most likely:

A. lend 100% of her wealth at the risk-free rate.
B. invest 100% of her wealth in the optimal risky portfolio.
C. borrow 25% of her wealth at the risk-free rate and invest 125% in the optimal risky portfolio.

Q64. A value-weighted equity index is most likely biased by a stock that:

A. has a high price.
B. splits frequently.
C. has a large market capitalization.

Q65. An investor buys a call option for \$5 with an exercise price of \$100 when the underlying price is \$99. The value to the call option buyer if the price of the underlying is \$108 at expiration is:
A. \$3.
B. \$4.
C. \$8.

Q66. Capital provided for companies moving toward operation but before commercial manufacturing and sales have occurred best describes which stage in venture capital investing?

A. Later stage
B. Seed stage
C. Early stage

Q67. Which of the following measures is an example of a top-down driver for forecasting a firm's revenue?

A. Same-store sales growth
B. Growth relative to GDP growth
C. Volumes and average selling prices

Q68. Only the seller can default on a(n):

A. swap.
B. option.
C. forward.

Q69. Which of the following statements about REITs is most accurate?

A. Adding real estate to a portfolio of traditional investments will increase portfolio risk
B. Adding real estate to a portfolio of traditional investments will decrease portfolio diversification
C. Equity REIT correlations with traditional investments are at their highest during steep market downturns

Question 70 of 90

An analyst gathers the following information about a stock purchased on margin:

Purchase price of stock	€50
Leverage ratio	2.5
Price below which first margin call received	€40

Q70. The maintenance margin requirement is:
A. 20%.
B. 25%.
C. 40%.

Q71. Which of the following European options has the greatest value at expiration?

A. A put with an exercise price of 72 and an underlying priced at 83
B. A put with an exercise price of 83 and an underlying priced at 72
C. A call with an exercise price of 83 and an underlying priced at 70

Q72. A bond is currently selling for 102.31. A valuation model estimates the price will fall to 101.12 if interest rates increase by 20 bps and rise to 103.74 if interest rates decrease by 20 bps. Using these estimates, the effective duration of the bond is closest to:
A. 6.31.
B. 6.40.
C. 6.48.

Q73. At maturity, the buyer of an over-the-counter (OTC) financial instrument faces the counterparty credit risk of the seller in:

A. a profitable long forward position only.
B. an in-the-money long call option position only.
C. both a profitable long forward position and an in-the-money long call option position.

Q74. Which of the following are most likely traded in traditional investment markets?

A. Commodities
B. Securitized debts
C. Shares in pooled investment vehicles that hold publicly traded debts

Q75. A 5% semiannual pay bond with a par value of $1,000 is priced for settlement on February 5. If interest payments are made on May 31 and November 30, accrued interest based on 30/360 day-count convention is closest to:
A. $9.03.
B. $9.18.
C. $9.31.

Q76. The value of a European put option is inversely related to the:

A. risk-free rate.
B. exercise price.
C. volatility of the underlying.

Question 77 of 90

An analyst gathers the following information about a hedge fund:

Beginning-of-year assets under management (AUM)	£200,000,000
Management fee (based on end-of-year AUM before fees)	2%
Incentive fee	10%
Soft hurdle rate	5%
Annual return before fees	20%

Q77. If the incentive fee is calculated independently of the management fee, total fees for the year
are:
A. £7,800,000.
B. £8,320,000.
C. £8,800,000.

Q78. With respect to risk management, determining how risk is taken by an organization best describes:

A. risk tolerance.
B. risk mitigation.
C. risk budgeting.

Q79. Which of the following is an underlying assumption of yield to maturity as a measure of expected return for a bond?

A. The credit quality of the issuer remains the same
B. The bond is sold at the same price as the purchase price
C. Coupons are reinvested at the same rate as the yield to maturity at purchase

Q80. Which of the following measures is least appropriate for evaluating the risk of a currency option?

A. Beta
B. Vega
C. Delta

Q81. A bond portfolio manager is considering three bonds (1, 2, and 3) for his portfolio. Bond 1 allows the issuer to call the bond before the stated maturity, Bond 2 allows the investor to put the bond back to the issuer before the stated maturity, and

Bond 3 contains no embedded options. The bonds are otherwise identical. The manager tells his assistant, "Bond 1 and Bond 2 should have larger nominal yield spreads to a US Treasury than Bond 3 to compensate for their embedded options." Is the manager most likely correct?

A. Yes
B. No, because Bond 1's nominal yield spread should be less than Bond 3's
C. No, because Bond 2's nominal yield spread should be less than Bond 3's

Question 82 of 90

An analyst gathers the following information (in $ millions) about a private equity fund:

	Investment A	Investment B	Total
Initial cost	100	150	250
Profit/loss	–50	30	–20

Q82. The manager's incentive fee is 20% of the profits. If no clawback provision applies, the total incentive fee (in $ millions) under an American-style waterfall is:
A. -4.
B. 0.
C. 6.

Q83. Enterprise value equals the market value of a company's debt and equity reduced by the company's:

A. debt.
B. cash.
C. preferred stock.

Q84. With respect to behavioral finance, an explanation for the overreaction anomaly is:

A. risk aversion.
B. loss aversion.
C. sudden changes in economic fundamentals.

Q85. Compared with co-investing, direct investing in alternative investments most likely offers:

A. reduced control over the investment selection process.
B. the same level of control over the investment selection process.

C. higher control over the investment selection process.

Question 86 of 90

An analyst gathers the following information about a company and its common stock:

Current dividend per share (D_0)	\$2.00
Dividend payout ratio	55%
ROE	9%

Q86. If the required return is 8%, the intrinsic value per share using the Gordon growth model is closest to:
A. \$50.63.
B. \$52.68.
C. \$68.82.

Q87. All else being equal, forward and futures prices are equal when:

A. futures prices and interest rates are negatively correlated.
B. futures prices and interest rates are uncorrelated.
C. futures prices and interest rates are positively correlated.

Q88. Which of the following components of an investment policy statement most likely states a client's requirements for withdrawing funds from the portfolio?

A. Statement of Purpose
B. Investment Constraints
C. Statement of Duties and Responsibilities

Q89. All else being equal, a stock dividend most likely:

A. decreases the share price.
B. has no impact on the share price.
C. increases the share price.

An analyst gathers the following information about two companies' non-callable, non-convertible perpetual preference shares:

	Preference Share 1	Preference Share 2
Par value	$100	$100
Required rate of return	8%	11%
Annual dividend per share	$6	$8

Q90. The value of Preference Share 1 is:

A. less than the value of Preference Share 2.
B. equal to the value of Preference Share 2.
C. greater than the value of Preference Share 2.